

RISK ASSESSMENT NOTE

Equity Concentration Risk: Technology Sector Overweight

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Risk Type: Concentration / Sector Risk

Severity: Medium-High

Affected Portfolios: Balanced Growth, Aggressive Growth account types

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Risk Identification

This note identifies an elevated concentration risk arising from the technology sector overweight across our Growth and Aggressive Growth account types. As of August 15, 2024, technology-related holdings (defined as companies classified in Information Technology, Communication Services generating >50% of revenue from technology products) represent 32% of equity exposure in Growth profiles and 38% in Aggressive Growth profiles. The Investment Policy Statement specifies a maximum single-sector weight of 30%.

The concentration is driven by exceptional performance from NVIDIA (+145% YTD), Microsoft (+18% YTD), Apple (+14% YTD), and ASML (+22% YTD) causing passive drift above target weights. Active decisions to maintain overweight positions in NVIDIA and MSFT have compounded the drift.

Risk Quantification

- Current technology sector weight: 32% (Growth), 38% (Aggressive Growth)
- IPS maximum: 30%
- Breach magnitude: 2 percentage points (Growth), 8 percentage points (Aggressive Growth)
- Estimated tracking error contribution from concentration: 1.4% for Growth, 2.1% for Aggressive Growth
- Tail risk: In a technology sector correction of -30% (2022 analog), impact on blended portfolio would be -9.6% (Growth) and -11.4% (Aggressive Growth) - versus the IPS maximum drawdown limit of -20%
- Correlation risk: AI-related names (NVDA, MSFT, AAPL, ASML) show increasing return correlation (0.72 rolling 90-day) suggesting single factor risk

Recommended Actions

- Immediate (within 5 business days): Trim NVIDIA position to benchmark weight in Aggressive Growth profiles - estimated reduction of 2.5% of equity exposure
- Within 30 days: Rebalance Growth profiles to bring technology sector weight to 29% (1% below maximum) to create buffer against further appreciation
- Ongoing: Implement monthly automated concentration checks with alerts when any sector exceeds 28% of equity
- Process improvement: Update IPS to clarify treatment of passive drift - whether breach triggers mandatory rebalancing or is subject to Investment Committee discretion

Monitoring Plan

Risk Management will provide weekly concentration reports to portfolio managers until technology weight is within IPS limits. Following rebalancing, quarterly monitoring will resume. A formal post-mortem on risk attribution will be prepared for the Investment Committee meeting in September to assess whether concentration limits should be tightened given the rapid market cap growth of mega-cap technology companies.